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BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2023
Question: Materiality Metrics for External Stakeholders
Include Modeled Scores : Yes

Materiality Metrics for External Stakeholders

Question

Has the company evaluated the positive/negative impacts on external stakeholders using quantitative output and impact metrics?

Rationale

The purpose of this question is to assess the extent to which companies are evaluating the positive and/or negative impacts they are causing on external stakeholders using quantitative metrics linked to the material issues identified in the materiality assessment. To ensure that the company is assessing those impacts, the question asks which quantitative metrics are being used to measure the output of its business activity, the impact that activity has on the external society and/or environment, and also which valuation technique is used to assess the impacts identified.

Companies can use impact valuation techniques to assess and compare the potential impacts that their products, services, or operations have had (or may have) on people and the environment. Investors can use impact valuation techniques to assess and compare the potential impacts that companies they are financing or considering financing may have on people and the planet, as well as their own investor contribution to those impacts.

Performance Summary	
Question Level Company Performance	48
Question Weight	15
Year-on-Year Change	0
Industry Average Score	23
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Output Metric: This refers to the environmental or social direct results caused by a company's business activities in terms of operations, products/ services, and/or supply chain. The metrics must be directly linked to the material issue.

Performance metrics included in the IRIS (Impact Reporting & Investment Standards) catalog are accepted as good practice to define output targets to measure social and environmental success:

Examples of environmental outputs that could be used to set a specific quantitative metric:

- Air pollution reduction (in % or C02 emissions, NOx Emissions, SOx emissions).
- Avoided C02 emission in % or tons, avoided NOx emissions, avoided SOx emissions.
- Water pollution reduction (% of contaminated potable water).
- Ground pollution reduction (in % or tons of waste disposed to landfill, incinerator).
- Waste diverted from landfill (in ton or %).
- Percentage of energy recovered.

Examples of social outputs that could be used to set a specific quantitative metric:

- Number of entrepreneurs that received a microfinance loan.
- Number of fatalities.
- Number of permanent illnesses.
- Sales of products protected by intellectual property rights.

Impact Valuation: This refers to the process of valuing and quantifying the external damages and/or benefits (positive/ negative externalities) to the society and the environment that are caused as a result of the direct environmental and/ or social outputs generated by a company's business activities. The valuation usually involves quantitative or monetary approaches or a combination of these. Quantitative valuation measures the impact of the negative/ positive externalities on societal stakeholders (e.g. society at large, local communities, end users/ consumers) and/or the environment (e.g. natural capital) in quantitative, non-monetary terms. Monetary valuations measure the impact of the negative/positive externality caused in monetary terms (e.g. social costs of environmental damages caused).

Examples of environmental impacts

- A change in people's environment:
  - Improved/decreased quality of the air and water and associated health impact,
  - Increased/ decreased availability and quality of food,
  - Improved adequacy of sanitation and associated social benefits,
  - Increased physical safety,
- A change in the natural earth system:
  - disruption of the rain cycle,
  - increase in land temperature,
  - acidification of the oceans…
- A change in the quality or availability of natural resources:
  - Destruction of ecosystems, fauna, and flora,
  - Decreased/Increased access to natural resources
  - Damage/Improvement to/of heritage, spiritual or cultural resources
  - Decreased/Improvement of quality or availability of natural resources

Examples of social impacts

- A change in people's quality of life: How they live and interact with one another.
  - A change in the community: its cohesion, stability, and character.
  - Capacity and Quality of Infrastructure, services, and facilities: associated impact on people's quality of life and/or health.
- A change in health status and wellbeing (physical, mental, social, and spiritual wellbeing):
  - Improved health awareness.
  - Deterioration in health status.
  - Capacity and cost of Local Health Providers.
- A change in personal and property rights, such as violation of their civil liberties.
- Other changes:
  - Increase/ decrease in local economic development (note that employment is an output metric).
  - Reduced/increased inequality: distributional impact e.g. on vulnerable households.
  - Enhanced local work experience, skills, and employability.

To evaluate the external impacts, companies could use different methodologies or standards that can range from standard methodologies from third parties to the company's internal processes. Even this question is not requesting to report the methodology that has been used, a list of the most well-known methodologies and standards that companies use for external impact measurement, management, and disclosure can be found here as a reference:

- Social & Human Capital Protocol.
- Business for Social Impact (B4SI).
- Socio-Economic Assessment Toolbox (SEAT).
- Social Return on Investment.
- Impact Reporting & Investment Standards (IRIS).
- Other third party-methodology.
- Company internal methodology.

Impact Metric: This is the quantitative (monetary or non-monetary) metric used to measure the impact caused on external societal stakeholders or the environment. It converts the output metric into a quantitative impact metric by evaluating the impact of the external damage or benefits (negative/ positive externalities) for societal stakeholders or the environment. Note that the output and impact metrics are directly linked with each other, and with the material issue assessed, but the metric/unit used cannot be the same.

Example of quantitative metrics:

- Quality of life improvement: % increase in self-confidence
- Quality life years gained from a new medical treatment vs. the standard of care
- % reduction in chronic illnesses due to the company's program
- % Loss of productive and habitable land
- % Loss of production in fisheries due to the spill of pollutants in rivers
- % Health-Adjusted Life Years (HALYs)

Example of monetary metrics:

- Social cost of carbon
- Social cost of water
- Social cost of waste
- Social cost of alcohol
- Cost of quality life year gained from a new medical treatment vs. standard of care
- Cost of work-related stress to society

Data Requirements

Output Metric:

- Companies clearly specify at least one quantitative environmental or social output metric directly linked to the material issue identified, associated external stakeholder group impacted and the company's business activity in line with the question 'Material Issues for External Stakeholder'.

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- Supporting evidence is required linking the output metric to the material issue for external stakeholders. As an example: if the company is tracking its waste diverted from landfill (as a percentage or in metric tons), this is not sufficient unless a link to its external impact on the environment or societal stakeholders is clearly established in the supporting evidence (i.e. private or public documents or comprehensive comment).
- If one or both Material Issues in the question 'Material Issues for External Stakeholders' are not acceptable, the output metric associated with the material issue identified by the company is also not acceptable due to the missing link between the material issue and its external impact aspects.
- For acceptable output metrics, the checkbox should be marked, and the specific value and unit of the output metrics provided in the text box. Companies may choose to provide additional supporting evidence in the form of an explanation.
- In case the specific impact is caused by more than one output, companies should specify all the relevant metrics.
- Metrics already reported in other CSA questions (e.g. emissions, waste, biodiversity, community impact), will only be accepted as long as there is a clear reference to the external impact dimension in previous question (e.g. importance of the topic to society, preservation of natural capital, contribution to SDGs, impact on climate change, etc.) and an impact metric linked.

Impact Valuation:

- Supporting evidence to validate that an impact valuation has been conducted is required in the form of private or public document(s) or a comprehensive company comment.
- The supporting evidence is expected to provide an explanation of how the output generated by the company due to its business activities translates into externalized societal or environmental impact.

Impact metric:

- In case the company has quantified (in monetary or non-monetary terms) the external impact generated on societal stakeholders or the environment, this option can be ticked. In the comment box, the quantitative impact value and unit of measurement are expected to be provided.
- The impact metric is required to be directly linked to the output metric and the impact valuation conducted.

Not acceptable Impact metrics:

- Pure economic and financial metrics: GDP growth, Tax payments, Net income, Amortization & depreciation, Interest, Salaries, Own employment, Taxes (direct income tax, indirect taxes & duties), Economic Value Add or Gross Value Add.
- Impacts due to philanthropic activities.
- Metrics regarding the company's own employees (including occupational health and safety metrics, employee training, employee benefits, and salaries, etc.).
- Metrics on resource usage reductions or avoided emissions, as these are output metrics.
- Social and Environmental Impact Assessments are conducted for specific projects only.
- Metrics that are not linked to the output metric and the material issue.

Disclosure requirements for partially public question:

All qualitative information required in this question needs to be supported by attached private or public document(s) or a comprehensive company comment. Options that cannot be verified in supporting documents will be unticked.

Additional credit will be granted for relevant publicly available evidence covering the following aspect of the question:

- Quantitative impact metric linked to the material issue for external stakeholders.

References

Natural Capital Protocol

https://naturalcapitalcoalition.org/protocol/

https://naturalcapitalcoalition.org/wp-content/uploads/2016/07/Framework_Book_2016-07-01-2.pdf

Social & Human Capital Protocol

https://capitalscoalition.org/capitals-approach/social-human-capital-protocol/

Social Value UK

https://www.socialvalueuk.org/

https://www.socialvalueuk.org/resource/discussion-document-valuation-social-outcomes/

https://www.socialvalueuk.org/app/uploads/2017/11/Discussion_Paper_on_SVP_NCP-FINAL-VERSION-2-1.pdf

World Business Council For Sustainable Development (WBCSD):

https://www.wbcsd.org/Programs/People-and-Society/Tackling-Inequality/Resources/WBCSD-Measuring-Impact

https://docs.wbcsd.org/2017/05/IVR_Impact_Valuation_White_Paper.pdf

Business for Societal Impact B4SI, (formely London Benchmarking Group LBG):

https://b4si.net/framework/

Social Return on Investment (SROI)

https://www.socialvaluelab.org.uk/wp-content/uploads/2016/09/SROI-a-guide-to-social-return-on-investment.pdf

Impact Reporting & Investment Standards (IRIS)

https://iris.thegiin.org/

Impact Management Project

https://impactmanagementproject.com/

Standards & Frameworks

WEF Metrics - Impact of GHG Emissions, Impact of air pollution, Impact of fresh water consumption and withdrawal, Impact of land use and conversion, Impact of solid waste disposal, Impact of water pollution, Total social investment ($)

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Evaluation of the positive/negative impacts caused on external stakeholders using quantitative output and impact metrics	Applicable
Material issue 1: Quantitative metric/s used to measure the output of the direct environmental and/or social results of the business activity is reported	YES
Material issue 2: Quantitative metric/s used to measure the output of the direct environmental and/or social results of the business activity is reported	YES
Material issue 1: Company conducts an impact valuation	YES
Material issue 2: Company conducts an impact valuation	YES
Material issue 1: Company conducts an impact valuation converting the output metrics to an impact metric to measure the societal or environmental external impact and reports on the quantitative metric.	Access to product/service with positive impact provided
Material issue 2: Company conducts an impact valuation converting the output metrics to an impact metric to measure the societal or environmental external impact and reports on the quantitative metric.	Access to product/service with positive impact provided
Material issue 1: Quantitative metric used to measure the external impact is reported.	-
Material issue 2: Description of the impact assessed is reported	Our consumers expected high quality standards
Material issue 1: Description of the impact assessed is reported	The experience when consumers buy our product
Material issue 2: Quantitative metric used to measure the external impact is reported.	-
Material issue 1: Information on quantitative metric used to measure the external impact is publicly available.	-
Material issue 2: Information on quantitative metric used to measure the external impact is publicly available.	-

Questionnaire

Have you evaluated the positive/negative impacts on external stakeholders using quantitative output and impact metrics? Please note that philanthropic initiatives or project-based impact assessments are not accepted in this question.

1. (●) Yes, we have quantitative metrics used to value the external impact on society and/or the environment.

Please provide supporting evidence:

	Impact 1	Impact 2
Material Issue for External Stakeholders Please specify the material issue that generates a positive/negative impact on external stakeholders.		
Output Metric Please specify the quantitative metric/s used to measure the output of the direct environmental and/or social results of the business activity.	1. ☑ Quantitative output metric/s linked to material issue	1. ☑ Quantitative output metric/s linked to material issue
Impact Valuation Please specify whether you have conducted an impact valuation converting the output metrics to an impact metric to measure the societal or environmental external impact. Please choose the quantitative metric used in the valuation from the list and provide a description of the impact assessed.	1. ☑ Impact valuation conducted Access to product/service with positive impact provided	1. ☑ Impact valuation conducted Access to product/service with positive impact provided

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Description of the impact assessed

The experience when c

1.

Quantitative impact metric linked to material issue

2.

Information is publicly available

Description of the impact assessed

Our consumers expecte

1.

Quantitative impact metric linked to material issue

2.

Information is publicly available

Impact Metric

Please specify the quantitative metric used to measure your external impact.

2.

No, we do not assess our externalized impacts on external stakeholders.

3.

Not applicable. Please provide explanations in the comment box below

4.

Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.